# THE BURTON INN

## EXHIBIT D - PROJECTED ANNUAL OPERATING BUDGET - STABILIZED YEAR

**eb20261113**

| OPERATING | *"THE BURTON INN"*, VASHON ISLAND | SHARED | INN ROOMS | FOOD & BEV |
|---|---|---|---|---|
| ESTIMATED TOTALS | SHARE OF REVENUE | 100.0% | 33.7% | 66.3% |
| STABILIZED YEAR | PROJECTED GROSS REVENUE | $465,662 | $156,950 | $308,712 |
| $340,298.03 | ANNUAL BUDGET SUMMARY | $99,469.86 | $47,915.38 | $192,912.80 |
| $28,358.17 | MONTHLY ALLOCATION | $8,289.16 | $3,992.95 | $16,076.07 |
| | COST AS % OF REVENUE | 21.4% | 30.5% | 62.5% |

| | | | ANNUAL BUDGET DETAILS | | SHARED | | INN ROOMS | | FOOD & BEV |
|---|---|---|---|---|---|---|---|---|---|
| | | **5.7%** | **Property Costs - Tier One** | | | | | | |
| $ | 8,500.00 | 43.6% | Real estate taxes (actual) ** | $ | 8,500.00 | $ | - | $ | - |
| $ | 6,500.00 | 33.3% | Building insurance ** | $ | 6,500.00 | $ | - | $ | - |
| $ | 4,500.00 | 23.1% | Routine maintenance and upkeep ** | $ | 4,500.00 | $ | - | $ | - |
| **$** | **19,500.00** | **100.0%** | **Total Property Costs** | **$** | **19,500.00** | **$** | **-** | **$** | **-** |
| | | | | | | | | | |
| | | **10.6%** | **Utilities** | | | | | | |
| $ | 33,000.00 | 91.7% | Power, water, garbage, internet * | $ | 33,000.00 | $ | - | $ | - |
| $ | 3,000.00 | 8.3% | Septic service *** | $ | 3,000.00 | $ | - | $ | - |
| **$** | **36,000.00** | **100.0%** | **Total Utilities** | **$** | **36,000.00** | **$** | **-** | **$** | **-** |
| | | | | | | | | | |
| | | **79.6%** | **Operational Expenses** | | | | | | |
| $ | 15,330.00 | 5.7% | Housekeeping labor | $ | - | $ | 15,330.00 | $ | - |
| $ | 5,840.00 | 2.2% | Laundry and linens | $ | - | $ | 5,840.00 | $ | - |
| $ | 4,380.00 | 1.6% | Room amenities | $ | - | $ | 4,380.00 | $ | - |
| $ | 17,656.88 | 6.5% | Booking platform commissions | $ | - | $ | 17,656.88 | $ | - |
| $ | 88,863.60 | 32.8% | Food and beverage cost of goods | $ | - | $ | - | $ | 88,863.60 |
| $ | 94,787.84 | 35.0% | Kitchen, bar and counter labor | $ | - | $ | - | $ | 94,787.84 |
| $ | 13,969.86 | 5.2% | Credit card fees | $ | - | $ | 4,708.50 | $ | 9,261.36 |
| $ | 24,000.00 | 8.9% | Business insurance and licenses | $ | 24,000.00 | $ | - | $ | - |
| $ | 6,000.00 | 2.2% | Software, POS and marketing | $ | 6,000.00 | $ | - | $ | - |
| **$** | **270,828.17** | **100.0%** | **Total Operational Expenses** | **$** | **30,000.00** | **$** | **47,915.38** | **$** | **192,912.80** |
| | | | | | | | | | |
| **$** | **13,969.86** | **4.1%** | **3% Repair and Replacement Reserve** | **$** | **13,969.86** | **$** | **-** | **$** | **-** |
| | | | | | | | | | |
| **$** | **340,298.03** | **100.0%** | **TOTAL ANNUAL OPERATING BUDGET** | | **$99,469.86** | | **$47,915.38** | | **$192,912.80** |

| | | % REV. | RENT AND RESULT |
|---|---|---|---|
| $ | 46,566.20 | 10.0% | Tier Two rent to owner (10% of gross revenue) |
| **$** | **386,864.23** | **83.1%** | **TOTAL COST INCLUDING RENT** |
| **$** | **465,662.00** | **100.0%** | **PROJECTED GROSS REVENUE** |
| **$** | **78,797.77** | **16.9%** | **NET AFTER ALL COSTS** |

*** Billed to tenant; copies to owner**
**** Tier One: paid by tenant at actual cost**
***** Placeholder until the septic service contract is quoted**
**Stabilized year at the target case: 50% occupancy at $215 a night. Year 1 will be lower while the inn opens in stages.**